

Chapter – 8

Relations with External Agencies

8.1 Introduction

SAIL occupies a pre-eminent position in the Indian Iron & Steel Industry. There are hundreds of items of plain carbon steel that the company produces at its integrated steel plants and markets throughout the country largely through a network of stockyards. SAIL plants also produce a large variety of by-products and coal chemicals. In addition, SAIL also supplies alloy steels and stainless steel.

Hardly any situation can be envisaged in our operation, right from the conception and construction of a steel plant to production and marketing when interaction with a large number of organisations, agencies and individuals is not involved. Being a Public Sector Company, our obligations to all concerned are quite high. These obligations largely arise from policies, rules and regulations framed by the Government from time to time. These are too numerous to permit a detailed enumeration here. In all areas of activity Government approvals continued to be mandatory, until very recently, when the pricing of steel was decontrolled.

The Memorandum of Understanding (MOU) with Department of Steel has vested SAIL with a higher degree of functional autonomy and responsibility. Though revisions in the distribution policy for iron and steel has increased our functional autonomy and has brought us into more direct contact with our customers, different Government policies such as Industrial, Fiscal, Foreign Trade, Licensing and Plan Targets will largely determine the business environment for SAIL. In addition, other policies such as reservation in employment, pollution control, peripheral development etc. also will have a bearing on our activities and performance.

8.2 Area of Interaction

The first aspect of relations with external agencies is the area of SAIL's activities, which call for an interface. These can be classified as follows:

- i. Investment in capacity creation
- ii. Organising production
- iii. Marketing of products
- iv. Interface with Government and Ministry

Within each of the areas of interface mentioned above, the important external agencies and individuals with whom SAIL has to interact are detailed below.

Investment in Capacity Creation

Funding agencies: various banks

Design and consultancy organisation: MECON, M N Dastur & Company, foreign collaborations, BHEL, foreign equipment suppliers etc.

8.3 Organizing Production

Sources of Inputs:

Coal India Limited (CIL), Public sector power plants, Public and Private Sector Mineral Companies, Suppliers of Refractories and Spare Parts. Oil and Petroleum companies, banks especially State Bank of India for cash & credit and foreign suppliers for inputs such as coking coal, refractory etc.

Workforces:

Employment Exchanges of different states, Universities and Professional Institutions for campus recruitment, representative organisations of the executive and non-executive employees of the company, Labour and Law courts, Tribunals.

Transportation:

Railways, road transports, shipping lines in the case of inputs that are being imported.

8.4 Marketing of Products

Customers, major buyers:

customer groups and associations - representing foundries, re-rollers, tube makers, wire drawing units, automobile manufactures, SSIC's, Fertilizer dealers; Conversion agents for mild steel and stainless steel.

Regulating agencies:

CCI & E, DGTD, various State Government departments such as Directorates of Industries, Sales Tax, Weights and Measures, Local bodies such as Municipalities etc.

Finance:

State Bank of India, other banks and financial institutions.

Extent of Dependence

Dependence on external agencies will continue to be substantial in almost all areas of SAIL Operations. For purpose of production the plants are largely dependent on infrastructural support from Railways, SEBs, CIL, vendors etc. Similarly for reaching the material to the ultimate consumer, SAIL is largely dependent upon the Railways for transportation of the required material to the right destination.

8.5 Interface with Government and Ministry

Parliamentary Committees

SAIL is a Public Sector Unit (PSU) and is answerable to various Government agencies. From time to time committees of Parliament such as SAIL Consultative Committee, Committee on Public Undertakings, the Public Accounts Committee and Committee on Official Languages visit our units to satisfy themselves whether the Company is discharging the responsibilities entrusted to it. In addition CAG also audits SAIL from time to time.

Regulatory Authorities

Department	Government Authorities
Coke Ovens	Director of Explosives (transfer and use of products.)
Mechanical Maintenance	Chief Boiler Inspector Factory Inspector Inspector (Weights & Measures)
Electrical Maintenance	Chief Electrical Inspector State Electricity Board
Traffic	Divisional Superintendent, Railways Controller of Purchase & Stores General Manager, SE Railway, Kolkata
Safety Engineering	DIHS, State Government State Labour Department National Safety Council
Pollution Control	Central and State Pollution Control Department DIHS, State Government
Personnel	DIHS, State Government Registrar or Trade Union Assistant Labour Commissioner

8.6 Important Stake Holders

a) Customer Groups

During the past few years SAIL has been laying greater emphasis on direct interaction with major customers and customer groups. This effort includes; holding dialogues with customers, visits to their offices and factories. The customers in turn are invited not only to interact with us in customers' group meetings but also to visit our plants. These interactions with the customer groups take place from the highest level down to the branch level. This is an area where additional thrust is being made with a view to achieving a lasting and mutually beneficial relationship. It is expected that such increased tempo of interaction will lead to quality improvement, product development, timely deliveries and product-mix rationalization.

b) Public

The contribution of SAIL in developing a strong infrastructural and industrial base for all round economic growth of the country, reaching steel to remote, backward and strategic parts of the country besides generating employment and providing to the workforce amenities expected from a model employer, is well

known. In fulfilling the aforesaid objectives, however, substantial costs are incurred with the result that the single criterion, by which the efficiency of an enterprise has come to be judged of late, namely profit, does not get the necessary priority.

c) Unions and Associations

SAIL has all along endeavored to be a model employer in fulfilling the reasonable expectations of its workforce. SAIL's expectation in return has been that everyone in the company will contribute to achieve the objectives of the company. For achieving the aforesaid twin objectives, reliance has been placed on an approach of participative management, which is very successful in its objectives.

In case of executives there is an association and there are unions for non-executives. There is only one negotiating body on various matters in case of non-executives as well as executives at the all-India level, whereas all the units of SAIL have got a separate set of unions for non-executives and association for executives. The unit level unions and association do not directly negotiate on any matter with SAIL's corporate management. However, once a national level agreement between the company and the non-executives union has been reached, the individual units hold a separate set of negotiations with their recognized union to adopt the same at the unit level. The process for executives is slightly different in this respect. The agreement on major issues reached at the national level is implemented straight away in all the units of SAIL.

d) Infrastructure

Coal, power and rail movement have been termed as infrastructure as these are critical basic inputs for industry in general and steel sector in particular. Infrastructure support is vital for uninterrupted production. Availability of these vital resources has been lagging behind the demand. In view of the critical nature of these inputs a Cabinet Committee on Industrial Infrastructure is monitoring the availability of these scarce inputs in the country and its allocation to the priority sectors.

To give an idea of the importance of these inputs for the steel industry, every tonne of saleable steel that we produce requires approximately 1 tonnes of coking coal, 500 units of electricity and 5 tonnes of rail traffic both inward and outward.

Steel plants are one of the largest bulk consumers of these infrastructure facilities. Practically, the entire coking coal produced in the country is consumed by the steel plants. Nearly one-third of the power generated by DVC is consumed by SAIL steel plants in the Eastern Region. About 15% of the total railway traffic in the country is on account of SAIL steel plants.

Indian Railways is a very important stakeholder for SAIL.

e) Coal

Steel plants need good metallurgical coal for conversion to hard coke, which is required as a fuel and reductant in blast furnaces.

All over the world, coke from coking coals with ash level of less than 10% are used in the blast furnaces. Unfortunately, a large part of Indian coking coals have a very high ash content of nearly 25%. Such coals cannot be used in the steel plants. These have to be washed to a level of around 17% ash. The reserves of coking coal in India are also limited and are located mostly in Jharkhand and Bengal coal fields. The availability of these coals is not keeping pace with the increasing requirements of the steel industry. Coal India Limited is the major supplier of coking coal.

f) Power

The steel plants need a large amount to power and are heavily dependent on public utilities like DVC.

However, SAIL cannot remain independent of external utilities as rolling operations create sudden surges in load, which can only be absorbed by a large grid system.
